

ILLUSTRATION BY RAJ VERMA

Despite FPI inflows remaining volatile in the post-pandemic years due to global geopolitical uncertainties, rising retail participation and increased flows from SIPs have supported the overall equity market. Monthly SIP inflows have nearly tripled compared to the pre-pandemic year (FY20), averaging approximately ₹23,000 crore per month in the fiscal year so far. The registered investor base jumped from around 30 million in January 2020 to approximately 104 million as of H1FY25.

Major central banks opting for rate cuts is becoming a trend globally. We expect the RBI to begin rate cuts by the last quarter of FY25, which would further bolster economic momentum.

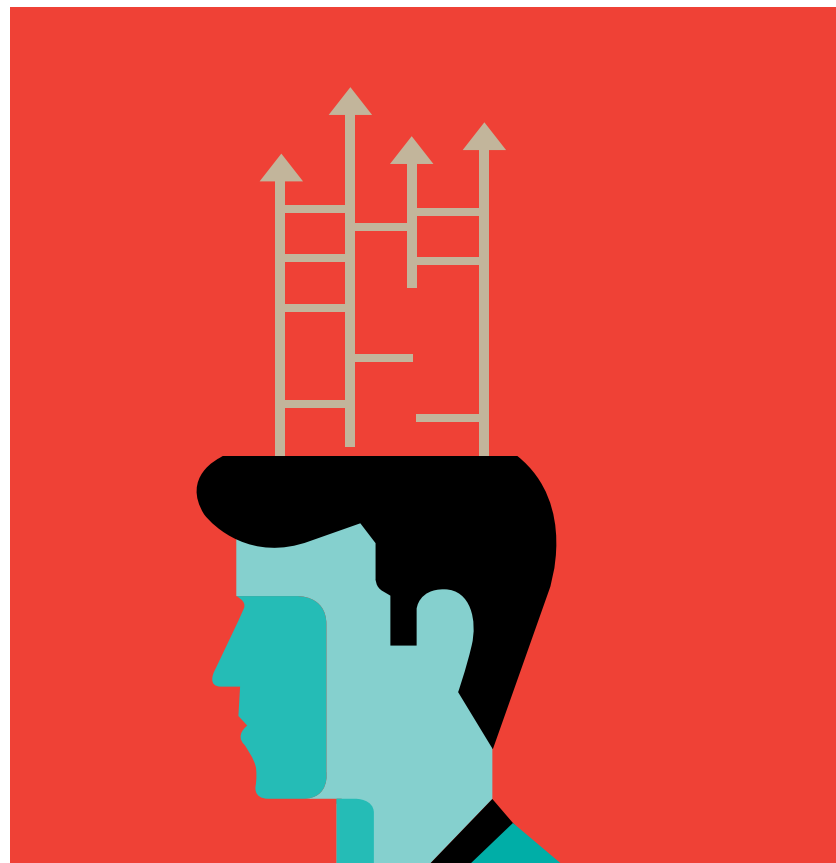
The m-cap-to-GDP ratio rose to 150% by the end of H1FY25, up from 77% in FY19, marking the highest level in the past two decades. However, the Economic Survey 2024 warned about over-financialising the economy and emphasised that the growth of the financial sector should be in line with economic growth. Hence, while the sharp growth in India Inc.'s m-cap is positive, there is a need to take a cautious approach on stock investments.

PERFORMANCE REVIEW

The past year has seen stellar performances from several sectors, which has led to an increase in corporate earnings. In one of the fastest growing economies, the Indian corporates benefitted from factors such as a pro-growth policy framework, relatively stable input prices, and stable currency. Many Indian companies saw their profit pool expand, and corporate earnings (earnings per share) go up.

Rising SIP book, increasing AUMs of MFs, and an overall increasing participation of domestic institutional investors (DIIs) in capital markets are some of the indications of the rising investor preference for equities. This has resulted in valuations expansion.

Meanwhile, the technology sector has continued to thrive. The pharmaceutical sector has also performed exceptionally well. The automotive sector has shown signs of recovery, with a surge in demand for EVs and advances in technology. The renewable energy sector has gained momentum, supported by government initiatives and a growing emphasis on sustainable practices. Digital transformation is expected to continue. The fintech sector is also poised for further growth.



CHALLENGES AHEAD

Despite a positive outlook, there are several challenges. The global economic environment remains uncertain, with potential risks from geopolitical tensions, inflationary pressures, and supply chain disruptions. Companies will need to navigate these challenges carefully. Regulatory changes and compliance requirements could also pose as challenges. Companies will need to stay agile and adapt to evolving regulations.

CONCLUSION

The past year has been a testament to the resilience and dynamism of India Inc. The surge in m-cap reflects the strong performance of Indian corporates. As we look ahead, the continued focus on digital transformation, sustainable practices, and innovation will be key drivers of growth. While challenges persist, the outlook for India Inc remains positive. **BT**

Views are personal